



[Weekly Market Commentary](#)

Dear clients,

Crypto markets remain muted following the deleveraging at the beginning of the month, though the average trading volumes for BTC and ETH across global centralized exchanges are higher than their historical August averages. The adjusted volumes for August 2024 have been about \$10.0B per day for bitcoin and \$5.4B for ether, much larger than their average daily spot trading volumes in the same month over the past five years at \$5.0B and \$2.5B respectively. Moreover, the moderation (decrease) of ETH trading volumes in August relative to the preceding three months has been a modest 7.7%, compared to an average 16.8% over the last five years.

Separately, US bond markets have gotten more interesting, in our view. Yet, while the move in long end rates has supported a recovery in US tech stocks, it's failed to confer the same benefits to crypto, despite the fall in front end rates pressuring the multilateral USD index (DXY) 4% lower since early July. Some of that represents residual bitcoin-specific supply overhangs like Mt. Gox repayments and US government selling. But the lack of crypto-specific narratives largely leaves the asset class dependent on macroeconomic factors to drive performance.

Fed Chair Jay (Jerome) Powell's speech at the Jackson Hole Economic Symposium, scheduled for Friday (August 23) at 10am ET, may give further clarity regarding the magnitude and focus of the Fed's next rate decision. However, we doubt his comments will have a large impact on risk markets, as the statements at this conference don't tend to have significant forward-looking implications. Instead, the market's concern over a cooling labor market, especially following the downward revision of the Bureau of Labor Statistics' nonfarm payroll estimates for earlier March 2024 data, leaves us highly data-dependent for the time being.

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The Coinbase Institutional Team

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